ISE542 Managing Knowledge

In-class Exercise: Scenario Case Study – Suggested Answer

ABC Marketing Co. Ltd.

Complete Transcript of Lecturer's Explanation
Audio: ISE542_W08_Lecture7_Case Study Answer.m4a

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Note: *This document combines the original scenario slide with a cleaned, structured full transcript of the lecturer's spoken answer. Minor transcription corrections have been made for clarity while remaining faithful to the original meaning.*

1. Original Scenario (from the Slide)

ABC Marketing Co. Ltd. is a market research company engaging in financial market surveys, marketing report publications, and providing consultancy service for the customers in the development of marketing strategies. One of the challenges of ABC is to ensure the right content of services and to deliver this content to customers in a timely manner. The company relies on well-trained, experienced and high quality experts to deliver their services. When these experts advise clients on how to develop market strategies, they need acquired knowledge to build up new solutions. However, the high turnover rate of experts makes it difficult for ABC to maintain and reuse knowledge if they leave the company. As a result, the KM team of the company has decided to develop a KM strategy. You are employed as an external KM consultant for the company.

Discussion question: Propose a KM strategy for improving the knowledge processes in the ABC Marketing Company.

2. Full Cleaned Transcript of Lecturer's Answer

2.1 Context & Diagnosis

Business strategy and knowledge management strategy tools of this kind can be used when the company is still healthy – they can prepare something for the future. But if we think about a social organisation, for example: if they do not have social workers, even though you build a system, no social worker will contribute a lot. If the social workers are still there, then building a system can work for the long term. This company is not like that. They do not even have sufficient people to operate the business, let alone enough people to entertain / use a KM system. This is something you need to understand – why the valuation / situation is so low. Only about 20% of students were really able to get the right answer.

2.2 Recommended Priority: Knowledge Transfer / Acquisition First

At least students may use knowledge transfer strategy as the first strategy. In the short term, focus on knowledge transfer (or knowledge acquisition). In the longer term they can then build a knowledge strategy linked to business strategy, or use other long-term strategies to recover from the high risk / low-resource situation. That would be excellent.

Building low-risk capability and transferring knowledge under low-risk conditions must start with acquisition. Low-risk acquisition is the faster way.

2.3 Why "Just Paying High Salary to Retain People" is Not a Good Solution

If you are not able to build knowledge, and instead you only acquire people by offering high salary – I will accept that people can be retained by money at the moment, but the people are already gone (or leaving). Even if you give money, they may not want to receive your money / stay. Giving money simply to retain people is not a good solution, because it becomes an endless wish: you increase the salary every next day and they will ask for more. This is not good practice.

2.4 Overall Direction Emphasised by the Lecturer

The core problem is high expert turnover → knowledge walks out the door → the company cannot maintain and reuse knowledge. Therefore the first and most urgent KM strategy should address knowledge transfer / capture / acquisition from the experts while they are still (or can still be) available, under conditions of relatively lower risk. Only after the knowledge base is stabilised can longer-term business-aligned KM strategies and more sophisticated systems be realistic. Trying to implement advanced KM systems when there are already insufficient people to run the core business will not succeed.

3. Structured Summary of the Recommended KM Strategy Direction

Time Horizon	Recommended Focus	Rationale (from lecturer)
Short-term / Immediate	Knowledge Transfer / Knowledge Acquisition (low-risk)	Company already short of people; experts are leaving. Must capture / transfer knowledge quickly before it is lost. Acquisition of knowledge (or of people who bring knowledge) is the faster, lower-risk starting point.
Longer-term	Knowledge strategy aligned with business strategy; other recovery strategies	Once basic knowledge processes are stabilised and people/knowledge are retained or captured, the company can move to more strategic, future-oriented KM initiatives.
Not recommended as primary solution	Simply raising salary to retain experts	Becomes an endless demand cycle; people who have already decided to leave may not stay even with more money. Not a sustainable practice.

4. Key Takeaways for Students

- Diagnose the real constraint first: ABC's critical problem is high expert turnover and the resulting loss of knowledge, plus insufficient people even to run the business.
- Priority of KM strategy must match the organisation's current health. Advanced systems or long-term strategies are unrealistic when people are already leaving and staffing is insufficient.
- Start with knowledge transfer / acquisition (the lower-risk, faster route) to secure knowledge before it walks out.
- Relying mainly on higher salary to retain people is not a sound long-term practice.
- After the knowledge base is stabilised, then develop a knowledge strategy that supports the business strategy for longer-term recovery and growth.
- Only about 20% of students arrived at a direction close to this reasoning – the rest either chose strategies that did not fit the urgent constraint or failed to prioritise knowledge transfer/acquisition.

— End of complete transcript —

Sources: Scenario slide (IMG_8551) + Audio ISE542_W08_Lecture7_Case Study Answer.m4a + related workshop briefing slides (ISE542_W07). Prepared for study purposes. Content follows the original lecturer's explanation.